Notesheet

Date: **26-08-2025**
Number: **747**
Priority Type: **Urgent**
Subject: **Approval for the Assets Disposal, Write off, Rectified as new asset which is not recorded in the system and constitute of Disposal Committee**

This is to submit that, as per the Statuary Audit observation the following highlighted issue has arisen due to the absence of a proper system in the past.

The auditors observed discrepancies as follows:

1. Unrecorded assets
2. Assets without codes
3. Assets with duplicate codes
4. Assets recorded in the system but not physically available

Accordingly, the Procurement Unit has verified the assets in consultation with individual custodians, the following outcomes and recommendations have been compiled:

Rectified as New Asset (Nu. 222)

1. **Physically available but not recorded in the system (FNF & EQP)** – To be entered in the books of account with a net value of **Nu. 1**, and codification to continue from the 2025 existing code. (Annex 1A & 1B)

- **For disposal (Nu. 133,962.40)**

1. **Unserviceable items (EQP)** – Net value **Nu. 27,507.91**, for disposal. (Annex 2A)
2. **Unserviceable items (FNF)** – Net value **Nu. 8,985.68**, for disposal.(Annex 2B)
3. **Unserviceable items (Grant)** – Net value **Nu.8,580.38**, for disposal.(Annex 2C)
4. **Surrendered items (EQP)** – Net value **Nu. 35,754.85**, for disposal.(Annex 2D)
5. **Surrendered items (FNF)** – Net value **Nu. 190.6**, for disposal.(Annex 2E)
6. **Tally license (Software)** – Net value **Nu. 52,942.98**, for sale.(Annex 2F)

- **For Write off (Nu.11,346.35)**

1. **Physically not available but recorded in the system (EQP items)** – Net value **Nu. 1,384.38,** to be written off from the books of account.(Annex 3A)
2. **Physically not available but recorded in the system (Grant items)** – Net value **Nu. 5**, to be **written off** from the books of account.(Annex 3B)
3. **Tally software** – Net value **Nu. 9,956.98**, to be written off from the books of account.(Annex 3C)

Proposed Disposal Committee

To oversee the disposal of surrendered and unserviceable items, it is proposed to constitute the following committee:

- **Mrs. Nima Lhamo, Thimphu GPO (Chairperson)**
- **Mr. Younten Jamtsho**, ICT – Member

- **Mr. Ugyen Chophel**, Finance Division – Member
- **Mr. Kinley Dorji**, Internal Audit – Observer
- **Mr. Karma Wangchuk**, Procurement Unit – Member
- **Ms. Dechen Choden,** Procurement Unit, member secretary

With the implementation of the new ERP system, the company will benefit from more accurate and reliable asset records. In this regard, the Procurement Unit, AHRD has made every effort to resolve the matter of asset reconciliation.

Therefore, the AHRD would like to seek kind approval as proposed in order to ensure accurate maintenance of asset records.

DECHEN CHODEN Applied to: **RINCHEN ZANGMO on** 26-08-2025
Remarks: **Madam, Submitted for kind approval as proposed please**

RINCHEN ZANGMO Forwarded to: **KARMA NIDUP on** 26-08-2025
Remarks: **Dasho,Recommend for kind approval.**

KARMA NIDUP Approved to: **DECHEN CHODEN on** 27-08-2025
Remarks: **Approved as recommended write off of assets not physically available but recorded in the system worth Nu. 11,346.35; rectification of new assets worth Nu. 222.00 and disposal of unserviceable/surrendered assets worth Nu. 133,962.40 through the proposed Disposal Committee conducted on "As Is, Where Is" basis to avoid unnecessary cost to the company**